

complaint

Mrs Z has complained about poor service on the part of Tesco Personal Finance Plc which resulted in her insurer declining a claim under her home insurance policy after she suffered an escape of water at her house. Mrs Z is represented in her complaint by her son, Mr Z.

background

Mrs Z held a home insurance policy which was arranged by Tesco and underwritten by a particular insurer. In February 2018, the policy was due for renewal. Sadly, Mrs Z had become ill and needed to go into a care home. Mr Z rang Tesco on behalf of his mother to explain the situation. He told Tesco that the property, once cleared, would be sold but that this might take some time and the property in the meantime would be empty. Tesco provided a quote for the renewal of the insurance which Mr Z accepted.

In August 2018, Mr Z was visiting the property when he discovered a water leak. This was from an overflow pipe in the loft and had caused a large damp patch in the main bedroom and landing.

Mr Z made a claim under the policy but the insurer declined this. It said that the property had been unoccupied for 60 days and under the terms of the policy there was therefore no cover for damage caused by an escape of water.

Mr Z, on behalf of his mother, complained to Tesco that it hadn't made him aware of this at the time he'd renewed the policy. Tesco apologised and said it should have done this. It offered £75 compensation for its error. However, Tesco pointed out that even if the occupancy clause were ignored, the claim would still have not been payable because the damage had occurred gradually. On this basis, it didn't feel that Mrs Z had been prejudiced by its error.

Mr Z was unhappy with Tesco's response. He referred his mother's complaint to us.

Our investigator recommended that the complaint should be upheld. He considered that Tesco should have made Mr Z aware at the time of renewal that the policy would only provide very restricted cover because the house was unoccupied. He considered that if Tesco had done this, Mr Z wouldn't have taken out the policy but would instead have sought bespoke insurance. He considered it was likely that such a policy would have required Mr Z to take certain precautionary actions such as draining the boiler and turning off the water supply. This would have meant the event giving rise to the claim would never have occurred. In view of this, the investigator said he thought Tesco should compensate Mrs Z to the value of the repairs required to repair the damage caused by the leak, either by doing the repairs itself or by providing a cash settlement. He also thought Tesco should pay Mrs Z £150 for the distress and inconvenience caused to her through its poor handling of the claim.

Tesco didn't accept the investigator's findings. It said that while it had made a mistake in not drawing the occupancy clause to Mrs Z's attention, this didn't make a difference because Mrs Z's claim would have been declined in any case due to the fact the damage had occurred gradually.

In view of the continued disagreement, the matter has been passed to me for a decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I uphold this complaint. I shall explain why.

Mr Z called Tesco one week before his mother's policy was due to renew. A recording of the call hasn't been made available. However, it isn't in dispute that Mr Z told Tesco that his mother would be going into a care home and the property would be unoccupied. Tesco's adviser said they would check with the underwriter and call Mr Z back.

The underwriter told Tesco it was prepared to allow the policy to renew, though cover would be subject to the policy clause relating to unoccupied properties which states:

"The risks to any property are significantly higher when it is unoccupied. Therefore we will not cover your home for incidents of theft, attempted theft, vandalism, malicious acts, escape of water or oil, and/or accidental damage when your home has not been lived in for 60 days or more in a row. You must tell us immediately if your home is or will become unoccupied. Visits to check on your home do not constitute it being occupied. Please see the relevant sections of the policy booklet for the exclusions which will be applied if your home is unoccupied."

Tesco's adviser didn't call Mr Z back to explain this. Instead, a new policy schedule was sent out to reflect certain other changes which had been agreed with Mr Z but there was no mention of the fact that the property would be unoccupied or the effect this would have on the cover.

Tesco admits that it should have called Mr Z back, but it has argued that Mr Z was in possession of the policy's terms and conditions and that it was up to him to read these to familiarise himself with the reduced cover which would apply to unoccupied properties. However, I disagree with this. Mr Z had told Tesco the property would be unoccupied but the amended schedule it sent to him still recorded that the property would normally be occupied. This was incorrect. Tesco should have amended the schedule to reflect the new information it had been given by Mr Z and I would have expected the schedule to include an endorsement relating to the unoccupied properties clause. By doing this, and/or if it had called Mr Z back as it had promised, Tesco would have made Mr Z aware of the significant restrictions to his mother's cover as a result of the property being unoccupied. Instead, it left him with the impression that the fact the property was unoccupied made no difference to the level of cover provided under the policy.

Tesco says that, even if the occupancy clause were to be ignored, Mrs Z's claim would still not be payable under the policy because the damage had occurred gradually. I agree with this. Mr Z wasn't thoroughly inspecting the property on a daily basis and so wasn't aware when the damage began showing. As a result, he didn't take prompt action to mitigate the damage. However, Tesco made an error when it sold the policy and the approach of this service is to consider what would have happened were it not for that error.

In this case, I consider that if Tesco had done its job properly and made Mr Z aware that as a result of being unoccupied, there would be no cover for not only escape of water but also various other risks such as theft, vandalism and malicious acts, he would not have taken out the policy in the first place. Instead, he would have sought a policy which was designed to cover unoccupied properties. Indeed, this is what I understand Mr Z did when he became

aware of the very limited cover he had purchased. Although I cannot be sure what policy he may instead have taken out, I think it likely that a policy of this nature would have required him to take certain actions to reduce risk, including the turning off of the water supply, and I think it likely that Mr Z would have complied with these requirements. This being the case, I consider that it is likely that if Tesco had acted correctly it would have resulted in Mrs Z avoiding the escape of water incident altogether.

In view of the above, I consider that Tesco's failure to bring the occupancy clause to Mr Z's attention did disadvantage Mrs Z. I agree with the investigator that Tesco should therefore compensate Mrs Z for the cost of repairing the damage caused by the escape of water, either by carrying out the repairs itself or by paying the invoice of her chosen contractor. I don't know if Mr Z has already arranged for the repairs to be done and for that reason my award will be for the cash settlement option, unless both parties agree otherwise. I furthermore consider that Tesco's actions will have likely delayed the intended sale of Mrs Z's property and so it should pay her £150 compensation for the distress and inconvenience caused.

my final decision

For the reasons given above, my final decision is that I uphold this complaint. I require Tesco Personal Finance Plc to cover the costs of Mrs Z's chosen contractor to carry out the repairs of the damage caused by the escape of water, unless both parties agree that Tesco should instead carry out this work itself. I further require Tesco to pay Mrs Z £150 compensation.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr Z, on behalf of Mrs Z, to accept or reject my decision before 15 May 2020.

David Poley
ombudsman